Kinds of Companies under the Companies Act, 2013

1. Introduction

The Companies Act, 2013 ('the Act') is the principal legislation governing the incorporation, functioning, regulation, and winding up of companies in India. It replaced the Companies Act, 1956 and introduced several new categories of companies, most notably the One Person Company, while refining older classifications such as small companies, dormant companies, and associate companies. Company law does not treat all companies alike. Depending on how a company is formed, how its members' liability is structured, how many members it has, who controls it, and whether it accesses public capital, different compliance obligations, governance norms, and levels of regulatory scrutiny apply. A private company incorporated by two friends to run a small consultancy, and a public listed company with lakhs of shareholders, are both 'companies' in the eyes of the law, but the Act treats them very differently.

This note takes students through each classification recognised under the Act in detail, explains the underlying rationale, cites the relevant statutory provisions, gives illustrative examples for each category, and flags the amendments that have reshaped these classifications, up to and including the most recent changes made in December 2025.

1.1 Snapshot: The Bases of Classification

Basis of Classification	**Categories**	**Key Governing Provision**
Mode of Incorporation	Chartered, Statutory, Registered	Section 3; special statutes
Liability of Members	Limited by Shares, Limited by Guarantee, Unlimited	Section 3(2), Section 18
Number of Members	Private, Public, One Person Company	Section 2(68), 2(71), 2(62)
Control / Ownership	Holding, Subsidiary, Associate	Section 2(46), 2(87), 2(6)
Access to Capital Market	Listed, Unlisted	Section 2(52)
Ownership / Object	Government Company, Foreign Company, Section 8 Company	Section 2(45), 2(42), Section 8
Size (Compliance-based)	Small Company, Dormant Company	Section 2(85), Section 455

2. Classification on the Basis of Incorporation

The first and most fundamental classification concerns how a company came into existence. Section 3 of the Act deals with the formation of companies, but the broader classification by mode of incorporation is a matter of general company law jurisprudence rather than a single section.

2.1 Chartered Companies

A chartered company is one incorporated under a special charter granted by the Crown (historically, the King or Queen of England) or, more generally, by the executive head of a State exercising prerogative powers. This method of incorporation predates modern companies legislation and was the dominant mode by which trading corporations were created in earlier centuries.

Illustration: *The East India Company (chartered in 1600) and the Bank of England (chartered in 1694) are classic examples. Such companies derived their powers, objects, and privileges entirely from the charter document, and not from any general companies statute.*

Chartered companies have no application in the incorporation of companies in India today. They are studied for their historical significance and because they illustrate the earliest form of corporate personality recognised by law, a precursor to the concept of a company as a separate legal person distinct from its members.

2.2 Statutory Companies

A statutory company is one created by a special Act of Parliament or of a State Legislature. The special Act itself lays down the company's objects, powers, constitution, and the extent to which the general provisions of the Companies Act, 2013 apply to it. Such companies are typically established to carry out functions of public importance, such as banking, insurance, or infrastructure, where the legislature considers it necessary to prescribe a bespoke legal framework rather than relying on the general incorporation process.

Illustration: *The Reserve Bank of India (RBI), incorporated under the Reserve Bank of India Act, 1934; the State Bank of India, under the State Bank of India Act, 1955; the Life Insurance Corporation of India, under the Life Insurance Corporation Act, 1956; and the Food Corporation of India, under the Food Corporation Act, 1964, are all statutory corporations.*

Section 1(4) of the Companies Act, 2013 clarifies that the Act applies to companies formed under it, but statutory companies are governed primarily by their own special Act; provisions of the Companies Act, 2013 apply to them only to the extent made applicable by their governing statute or by notification.

2.3 Registered Companies

Registered companies are those incorporated by registration under the Companies Act, 2013, or any of its predecessor statutes (the Companies Act, 1956, or earlier Indian Companies Acts). The process involves the promoters filing incorporation documents, principally the memorandum of association and articles of association, with the Registrar of Companies (RoC), who then issues a Certificate of Incorporation under Section 7. This is overwhelmingly the most common mode of incorporation in India today, covering private limited companies, public limited companies, One Person Companies, and Section 8 companies alike.

Illustration: *Reliance Industries Limited, Infosys Limited, and a small family-run private limited trading company in a district town are all, despite their vastly different scale, 'registered companies' for this purpose.*

Because registered companies form the overwhelming majority of companies in India, and because it is this category that the Act subdivides further by liability, membership, control, and capital access, the remainder of this note focuses on registered companies.

3. Classification on the Basis of Liability of Members

Section 3(2) of the Act permits companies to be incorporated on three different bases of member liability. This classification determines the extent to which a member's personal assets are at risk if the company is unable to meet its debts.

3.1 Companies Limited by Shares

This is the most prevalent form of company. Under this structure, the liability of a member is limited to the amount, if any, remaining unpaid on the shares registered in that member's name. If a member has paid the entire face value (and any premium) of the shares subscribed, that member cannot be called upon to contribute anything further towards the company's debts, however large those debts may be.

Illustration: *Suppose a member holds 1,000 shares of face value Rs. 10 each, and has paid up Rs. 7 per share. If the company is wound up owing large debts, the member can be called upon to pay only the unpaid Rs. 3 per share, i.e., Rs. 3,000 in total, and nothing more, regardless of the size of the company's liabilities. Most large Indian corporations, such as Tata Consultancy Services Limited and HDFC Bank Limited, are companies limited by shares.*

This form of limited liability is a principal reason why the corporate structure is attractive to investors: it allows a person to invest in a business venture while capping their downside risk at the amount invested.

3.2 Companies Limited by Guarantee

In a company limited by guarantee, members do not necessarily contribute share capital upfront. Instead, each member undertakes, through a guarantee clause in the memorandum of association, to contribute a specified sum towards the company's assets in the event that it is wound up while they are a member, or within one year of ceasing to be a member. Such companies may be formed with or without share capital. This structure is commonly adopted by professional bodies, clubs, trade or industry associations, and other organisations pursuing non-commercial or mutual-benefit objects, where members do not require an equity stake but should bear some liability if the entity is wound up.

Illustration: *Trade promotion councils, professional associations such as certain bar associations structured as companies, sports clubs, and chambers of commerce are frequently incorporated as companies limited by guarantee. A member's guarantee might typically be a nominal amount, such as Rs. 1,000 or Rs. 10,000, payable only on winding up.*

Where such a company also has share capital, members bear liability both to the extent unpaid on their shares and to the extent of their guarantee. Companies limited by guarantee without share capital are especially common where the entity also seeks Section 8 status (discussed later), since not-for-profit companies typically do not need equity capital to fund their objects.

3.3 Unlimited Companies

An unlimited company is one in which the liability of members is not restricted at all. In the event of winding up, every member is liable, without any monetary ceiling, to contribute towards the company's debts and liabilities in proportion to their interest in the company, in the same manner as partners in a partnership firm would be liable. Section 18 of the Act permits an unlimited company to subsequently re-register itself as a limited company (either limited by shares or by guarantee), subject to compliance with prescribed procedures.

Illustration: *An unlimited company might be used, for instance, where promoters wish to enjoy corporate features such as perpetual succession and a common seal, while accepting personal exposure to creditors, perhaps because lenders insist on greater comfort than limited liability would offer. In practice, unlimited companies are rare in India today, precisely because the primary commercial incentive for incorporation, limitation of liability, is absent.*

Because the risk to personal assets is unrestricted, unlimited companies are seldom used by ordinary commercial enterprises and are mostly of academic and comparative interest, though the Act continues to recognise and regulate them.

4. Classification on the Basis of Number of Members

This is perhaps the most commercially significant classification, since it determines whether a company may raise funds from the public, how many members it may have, and the extent of regulatory scrutiny it attracts.

4.1 Private Company

Section 2(68) defines a private company as one whose articles of association: (a) restrict the right of members to transfer their shares; (b) except in the case of a One Person Company, limit the number of members to two hundred, excluding present and past employee-members who continue to hold shares; and (c) prohibit any invitation to the public to subscribe for any securities of the company. Where two or more persons hold shares jointly, they are treated as a single member for the purpose of this limit. A private company must have a minimum of two members and two directors, and its name must end with the words 'Private Limited'.

Illustration: *A closely held family business, such as a small manufacturing unit incorporated by three family members as 'Sharma Textiles Private Limited', is a typical private company. Even large, well-known businesses can be private companies: Flipkart Internet Private Limited and Ola's operating entity ANI Technologies Private Limited are private companies despite substantial size, because their shares are not freely transferable and are not offered to the public.*

The restrictions on transferability and on public invitation are the defining features of a private company; they allow closely held businesses to retain control within a defined group while still enjoying corporate personality and limited liability.

4.2 Public Company

Section 2(71) defines a public company, somewhat circularly, as a company that is not a private company, subject to a proviso that a private company which is a subsidiary of a public company shall be deemed to be a public company for the purposes of the Act, even where its own articles otherwise satisfy the private company criteria. A public company must have a minimum of seven members and three directors, and there is no upper ceiling on membership. A public company's articles do not restrict the transfer of shares, and, subject to compliance with the prospectus and disclosure requirements of the Act (and, where its securities are to be listed, the regulations of the Securities and Exchange Board of India), it may invite the public to subscribe for its shares or debentures.

Illustration: *Tata Motors Limited, Infosys Limited, and Larsen & Toubro Limited are public companies. Notably, a public company need not be listed on a stock exchange; many public* *companies remain unlisted while still enjoying the freedom to have unlimited members and freely transferable shares.*

Because public companies can access public capital, they are subject to significantly more onerous disclosure, governance, and audit requirements than private companies, including mandatory independent directors and audit committees once prescribed thresholds are crossed.

4.3 One Person Company (OPC)

The One Person Company is a novel category introduced for the first time by the Companies Act, 2013 (it did not exist under the 1956 Act), reflecting a deliberate policy choice to enable solo entrepreneurs to enjoy corporate personality and limited liability without needing to find a second shareholder, an option previously available only through the comparatively cumbersome sole proprietorship form, which offers no limitation of liability.

Section 2(62) defines an OPC as a company having only one person as a member. Under Section 3(1)(c), an OPC may be formed for any lawful purpose by one person, and its memorandum must state the name of a nominee who, in the event of the sole member's death or incapacity to contract, will become the member of the company, with that nominee's prior written consent filed with the Registrar at the time of incorporation.

Illustration: *A freelance software consultant who wishes to operate through a corporate entity, limit personal liability, and gain credibility with clients, without bringing in a second shareholder purely to satisfy the two-member requirement of a private company, may incorporate 'Tech Solutions (OPC) Private Limited'.*

Amendment update: The framework governing OPCs was substantially liberalised by the Companies (Incorporation) Second Amendment Rules, 2021, notified on 1 February 2021 and effective from 1 April 2021, pursuant to announcements in the Union Budget 2021-22. Before this amendment: (i) only a person resident in India for at least 182 days in the preceding financial year could form an OPC or act as its nominee; (ii) an OPC could not voluntarily convert into a private or public company until two years had elapsed from incorporation; and (iii) an OPC was compulsorily required to convert into a private or public company if its paid-up capital exceeded Rs. 50 lakh or its average annual turnover exceeded Rs. 2 crore over three consecutive years. The 2021 amendment: (i) reduced the residency threshold from 182 days to 120 days, and, more significantly, removed the requirement that the person be 'resident in India' at all, thereby permitting Non-Resident Indians to incorporate OPCs; (ii) removed the two-year lock-in on voluntary conversion, so an OPC may now convert to a private or public company at any time; and (iii) abolished the mandatory conversion triggers based on paid-up capital and turnover, so an OPC may now continue indefinitely regardless of its financial size. These changes were intended to encourage more solo entrepreneurs and start-ups, including those supplying goods and services through e-commerce platforms, to adopt the corporate form.

5. Classification on the Basis of Control

Companies frequently operate as part of corporate groups, where one company controls or significantly influences another. The Act recognises three inter-related concepts to capture different degrees of such control.

5.1 Holding Company

Section 2(46) defines a holding company, in relation to one or more other companies, as a company of which such other companies are subsidiaries. In practice, a company is a holding company of another if it controls the composition of that other company's board of directors, or holds, directly or indirectly, more than one-half of the total voting power of that other company (or, for companies limited by shares, more than one-half of the paid-up equity share capital).

Illustration: *Tata Sons Private Limited functions as the principal holding entity for numerous operating companies across the Tata Group, including Tata Motors Limited and Tata Steel Limited, by virtue of its shareholding and control over their boards.*

5.2 Subsidiary Company

Correspondingly, Section 2(87) defines a subsidiary company (or subsidiary), in relation to any other company (the holding company), as a company in which the holding company: (i) controls the composition of the board of directors, or (ii) exercises or controls more than one-half of the total voting power, either on its own or together with one or more of its other subsidiaries. Where the holding company holds the entire share capital of a subsidiary, either alone or through its nominees, the subsidiary is termed a 'wholly owned subsidiary'.

Illustration: *Titan Company Limited is a subsidiary of Tata Sons Private Limited (together with other Tata entities holding a controlling stake). ICICI Prudential Life Insurance Company Limited was, for a substantial period, a subsidiary of ICICI Bank Limited.*

Section 2(87) also contains an important restriction, introduced by the Companies (Amendment) Act, 2017: a company cannot be a subsidiary of more than a prescribed class of companies, and the Act restricts the layers of subsidiaries a holding company may have, to prevent the creation of excessively complex corporate structures designed to obscure ultimate ownership.

5.3 Associate Company

Section 2(6) defines an associate company, in relation to another company, as a company in which that other company has a significant influence, but which is not a subsidiary of the company exercising such influence, and includes a joint venture company. 'Significant influence' is defined to mean control of at least twenty per cent of the total voting power, or control of or participation in business decisions under an agreement.

Illustration: *If Company A holds twenty-five per cent of the voting shares of Company B, without controlling Company B's board or a majority of its voting power, Company B would ordinarily be treated as an associate company of Company A, not as its subsidiary.*

The associate company concept is significant for consolidated financial reporting, since Indian Accounting Standards require investments in associates to be accounted for using the equity method rather than simple consolidation.

6. Classification on the Basis of Access to Capital Markets

6.1 Listed Company

Section 2(52) defines a listed company as a company which has any of its securities listed on any recognised stock exchange, subject to such exceptions as may be prescribed for certain classes of securities (for instance, certain debt securities listed without an equity listing may be excluded from this definition for specified purposes under rules framed by the Central Government).

Illustration: *Reliance Industries Limited, whose equity shares are listed on the BSE Limited and the National Stock Exchange of India Limited, is a listed company. A company that has only listed non-convertible debentures, without any listed equity, may be excluded from certain compliance obligations applicable to listed companies under specific carve-outs.*

Listed companies attract a substantially more rigorous compliance regime, layered on top of the Companies Act, 2013, primarily through the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, covering matters such as continuous disclosure, related-party transactions, and corporate governance norms for boards and committees.

6.2 Unlisted Company

An unlisted company is simply one none of whose securities are listed on any recognised stock exchange. Both private companies (which are, in any event, prohibited from inviting public subscription) and public companies may be unlisted.

Illustration: *Serum Institute of India Private Limited, despite its scale, is not listed and remains a private company. Similarly, many large public companies, such as certain public sector undertakings or large family-owned public companies, may remain unlisted while still meeting the numerical and structural criteria of a public company.*

7. Other Notable Categories

7.1 Government Company

Section 2(45) defines a Government company as any company in which not less than fifty-one per cent of the paid-up share capital is held by the Central Government, or by any State Government or Governments, or partly by the Central Government and partly by one or more State Governments, and includes a company which is a subsidiary of such a Government company.

Illustration: *Bharat Heavy Electricals Limited, Oil and Natural Gas Corporation Limited, and Steel Authority of India Limited are Government companies within this definition. Government companies are incorporated and registered like any other company, but the extent of governmental shareholding subjects them to additional accountability mechanisms, including audit by the Comptroller and Auditor General of India under Section 143(5), (6) and (7) of the Act.*

7.2 Foreign Company

Section 2(42) defines a foreign company as any company or body corporate incorporated outside India which: (a) has a place of business in India, whether by itself or through an agent, physically or through electronic mode; and (b) conducts any business activity in India in any other manner. Chapter XXII of the Act (Sections 379 to 393) lays down special provisions applicable to foreign companies, including requirements to file specified documents with the Registrar within thirty days of establishing a place of business in India.

Illustration: *Google LLC, Amazon.com, Inc., and Microsoft Corporation, insofar as they establish a place of business or conduct business activity in India (often through Indian branch* *offices or liaison offices, in addition to separately incorporated Indian subsidiaries), fall within this definition to that extent. It is important to distinguish a 'foreign company' under Section 2(42) from an Indian subsidiary of a foreign parent, such as Google India Private Limited, which, being incorporated in India, is an Indian company, not a foreign company, even though it is owned by a foreign parent.*

7.3 Small Company

Section 2(85) introduces the concept of a small company to extend a lighter compliance regime to smaller private companies, recognising that the elaborate governance apparatus designed for large public companies is disproportionate for small enterprises. A small company means a company, other than a public company, which satisfies prescribed thresholds of paid-up share capital and turnover, both conditions to be read cumulatively. The proviso to Section 2(85) expressly excludes from this category: (a) a holding company or a subsidiary company; (b) a company registered under Section 8; and (c) a company or body corporate governed by any special Act.

Small companies benefit from a range of relaxations, including: exemption from preparing a cash flow statement as part of financial statements; the ability to hold only two board meetings in a year (instead of the usual four) with a minimum gap of ninety days between them; simplified, abridged annual returns signed by the company secretary alone (or a director, where there is no company secretary); exemption from mandatory rotation of auditors; and reduced penalties under Section 446B for certain defaults.

Amendment update: The monetary thresholds for a 'small company' have been revised upward on three occasions since the Act came into force, consistently in the direction of covering more companies within the beneficial regime: originally, the Act (prior to the Companies (Amendment) Act, 2015) set the thresholds at paid-up capital not exceeding Rs. 50 lakh and turnover not exceeding Rs. 2 crore. The Companies (Specification of Definitions Details) Amendment Rules, 2021, effective 1 April 2021, raised these to paid-up capital not exceeding Rs. 2 crore and turnover not exceeding Rs. 20 crore. The Companies (Specification of Definitions Details) Amendment Rules, 2022, effective 15 September 2022, raised the thresholds further to paid-up capital not exceeding Rs. 4 crore and turnover not exceeding Rs. 40 crore. Most recently, the Companies (Specification of Definition Details) Amendment Rules, 2025, notified vide G.S.R. 880(E) and effective from 1 December 2025, has raised the thresholds again, to paid-up capital not exceeding Rs. 10 crore and turnover not exceeding Rs. 100 crore. As before, a company must fall within both limits simultaneously to qualify, and the categories of company expressly excluded from small company status (public companies, holding and subsidiary companies, Section 8 companies, and companies governed by special Acts) remain unchanged.

Illustration: *A private company with paid-up capital of Rs. 6 crore and annual turnover of Rs. 70 crore would not have qualified as a small company under the 2022 thresholds, but would qualify as a small company under the thresholds effective from 1 December 2025, since both figures now fall below the revised Rs. 10 crore and Rs. 100 crore limits respectively.*

7.4 Section 8 Company (Company with Charitable Objects)

Section 8 permits the incorporation, with the prior licence of the Central Government (a power delegated to the Registrar of Companies), of a company that: (a) is formed for promoting commerce, art, science, sports, education, research, social welfare, religion, charity, protection of the environment, or similar objects; (b) intends to apply its profits, if any, or other income, in promoting those objects; and (c) intends to prohibit the payment of any dividend to its members. Such companies are commonly referred to as 'Section 8 companies' and are the corporate law equivalent of a non-profit organisation, often used as an alternative to a trust or a society for entities that wish to combine charitable objects with a modern corporate governance structure.

Illustration: *The Confederation of Indian Industry and various educational and research foundations are structured as Section 8 companies. Reliance Foundation is registered as a Section 8 company. Such entities typically omit the words 'Limited' or 'Private Limited' from their name, since Section 8(1) permits registration without these suffixes, and instead often use words such as 'Foundation', 'Association', 'Federation', or 'Council'.*

A Section 8 company enjoys certain exemptions from the ordinary requirements of the Act, for instance in relation to the minimum number of directors and certain procedural formalities, but the licence granted under Section 8 can be revoked by the Central Government if the company's affairs are conducted in a manner contrary to its objects or prejudicial to the public interest, in which case the company may be directed to convert into a company of another kind or be wound up.

7.5 Dormant Company

Section 455 introduces the concept of a dormant company, addressing the situation of a company that has been formed for a future project or to hold an asset or intellectual property, but has no significant accounting transactions, or a company which is not carrying on any business or operations. Such a company, or an inactive company, may make an application to the Registrar to obtain the status of a 'dormant company'.

Illustration: *A group of promoters may incorporate a company today solely to reserve a corporate name and hold certain intellectual property for a project planned to commence three years later. Rather than complying with the full annual compliance burden applicable to an active company in the interim, they may apply for dormant status under Section 455, subject to periodic filings to retain that status.*

A dormant company continues to exist on the register with minimal compliance obligations, but the Registrar may strike off the name of a dormant company from the register if it fails to comply with the requirements of Section 455 for two consecutive financial years.

8. Interaction Between the Classifications

It bears emphasis that these classifications are not mutually exclusive silos; a single company will typically fall simultaneously within one category from each basis of classification. Consider, for instance, a company such as 'Alpha Innovations Private Limited', which: (a) is a registered company (mode of incorporation); (b) is limited by shares (liability of members); (c) is a private company (number of members); (d) is a wholly owned subsidiary of a foreign parent, and hence controlled by that parent (basis of control); (e) is unlisted (access to capital markets); and (f) may additionally qualify as a small company if its paid-up capital and turnover fall within the prescribed thresholds, provided it is not otherwise excluded (for instance, by virtue of being a subsidiary, which would in fact disqualify it from small company status under the proviso to Section 2(85)).

Recognising how these classifications interact, and in particular where the exclusions in one classification (such as the small company proviso excluding subsidiaries) cut across another (control-based classification), is essential to correctly identifying which compliance regime applies to a given company at a given point in time.

9. Conclusion

The classification of companies under the Companies Act, 2013 reflects a deliberate regulatory design: the law calibrates the intensity of disclosure, governance, and compliance obligations to the nature, scale, and public interest implications of the company in question. A small, closely held private company is subjected to a materially lighter compliance burden than a large listed public company raising funds from the investing public, and rightly so, since the risks to third parties and to the wider financial system differ enormously between the two. The introduction of the One Person Company in 2013, and the progressive liberalisation of both the OPC framework (in 2021) and the small company thresholds (in 2015, 2021, 2022, and most recently 2025), illustrate a consistent legislative and regulatory trend towards easing compliance for smaller enterprises and encouraging formalisation of business activity within the corporate structure, in furtherance of the broader policy goal of 'ease of doing business'. A sound grasp of these classifications, the statutory provisions underlying them, and the practical examples of each, is indispensable for any student proceeding to study incorporati